

Does this diamond obey the identification guidelines? Price rises into the pattern from the bottom, so the upward price trend is correct for a top. The diamond shape becomes clear after drawing trendlines along the minor highs and lows. Linear regression on the volume trend shows that it tilts downward, as expected (take my word for it). Breakout day volume is high, but again, this is not a rule, just an observation. A breakout on low volume is fine.

In short, the diamond top pictured in [Figure 24.4](#) is valid. With an upward breakout, I would check for overhead resistance to the upward move, but this figure does not show any. A look at the weekly chart would clarify the situation and allow a trader to estimate the likely rise (assuming price stops at overhead resistance).

Breakout direction. Price breaks out in a direction that's almost random, but it favors a downward direction.

Focus on Failures

[Figure 24.5](#) shows a diamond top failure. The diamond may look odd by its unsymmetrical appearance, but does it qualify as a valid diamond? Yes. The price trend leading to the pattern is up, there are plenty of trendline touches in the pattern, and volume diminishes from being high on the left to low on the right—all are ingredients of a properly selected diamond top. Breakout volume, however, is timid, falling well short of the peaks posted during the prior three days.

Price breaks out downward from the diamond and reaches the ultimate low as shown on the chart. After that, a pullback sees price recover to the breakout price and keeps climbing in a swift move upward, peaking in early February. The price drops, gapping lower (breakaway gap).